

ESG ratings: The mixed bag and its implications

[Emma Sjöström](#), [R. Sandberg](#), [Anders Westlund](#) • Environmental Science, Business, Economics

Asset owners and asset managers around the world are increasingly employing environmental, social and governance (ESG) criteria for investment analysis and decisions. Consequently, the market for providing corporate ESG ratings have proliferated. Research shows, however, that there is generally a low level of correlation between the ESG ratings of different ratings institutes. For example, the same company can receive a high rating from one institute and a medium or low by another. To gain a fuller understanding of the scope of the discrepancies and its implications for investors, corporations and academic researchers, this paper summarizes key academic literature on the divergence ESG ratings and offers a view on future research avenues. [Collapse](#)

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